

HCS HB 2869 -- LOCAL REAL PROPERTY TAX CREDIT FOR CERTAIN  
DISABLED VETERANS

SPONSOR: Jones (12)

COMMITTEE ACTION: Voted "Do Pass with HCS" by the Special  
Committee on Tax Reform by a vote of 9 to 0. Voted "Do Pass" by  
the Standing Committee on Rules-Legislative by a vote of 11 to 0.

The following is a summary of the House Committee Substitute for  
HB 2869.

This bill establishes the "Missouri Disabled Veteran Homestead  
Tax Credit Act".

Beginning January 1, 2027, if adopted by county order, ordinance,  
or resolution, a county may grant an annual real property tax  
credit for the qualifying homestead of a disabled veteran that  
has an assessed value not to exceed \$500,000. This \$500,000 limit  
on assessed value must be adjusted annually for inflation.

The county may grant a tax credit for any percentage of the  
qualified amount that does not exceed 100% of the disabled  
veteran's property tax liability. Before January of any year,  
the governing body of a county may adjust this tax credit  
percentage for the next general reassessment year by ordinance.

If the qualifying disabled veteran passes, this real property tax  
credit must carry over to the benefit of the surviving spouse as  
long as certain conditions are met.

This real property tax credit must not reduce assessed valuations  
and must not be construed as an exemption.

If an eligible owner receives this real property tax credit, he  
or she will no longer be eligible for any other real property tax  
relief or tax credit relating to the owner's qualifying  
residence.

For the purpose of calculating property tax levies, the total  
amount of these real property tax credits must be considered tax  
revenue actually received by the county or other political  
subdivision.

This bill is similar to HB 2588 (2026).

The following is a summary of the public testimony from the committee hearing. The testimony was based on the introduced version of the bill.

**PROPONENTS:** Supporters say that the bill is a responsible, commonsense, and targeted road map to ensure disabled veterans are not taxed out of their homes. Those in support of the bill state that the bill ensures the homestead tax credit for disabled veterans would not have the same issues as SB 190. Supporters of the bill say veterans have been waiting for bills like this to actually pass. Those in support of the bill say this bill leaves the tax credit up to the counties to impose.

Testifying in person for the bill were Representative Jones; Troy Williams, Missouri Association of Veterans Organization; and Michael W Schroeder, Department of Missouri Veterans of Foreign Wars (VFW).

**OPPONENTS:** There was no opposition voiced to the committee.

**OTHERS:** Others testifying on the bill say that Department of Revenue did not receive this bill and others from Legislative Oversight in a timely manner to ensure a fiscal note could be done. Department of Revenue believes there would be savings because those who take the tax credit proposed by this bill could not take some of the other property tax credits.

Testifying in person on the bill was Zachary Wyatt, Department Of Revenue.

Written testimony has been submitted for this bill. The full written testimony and witnesses testifying online can be found under Testimony on the bill page on the House website.